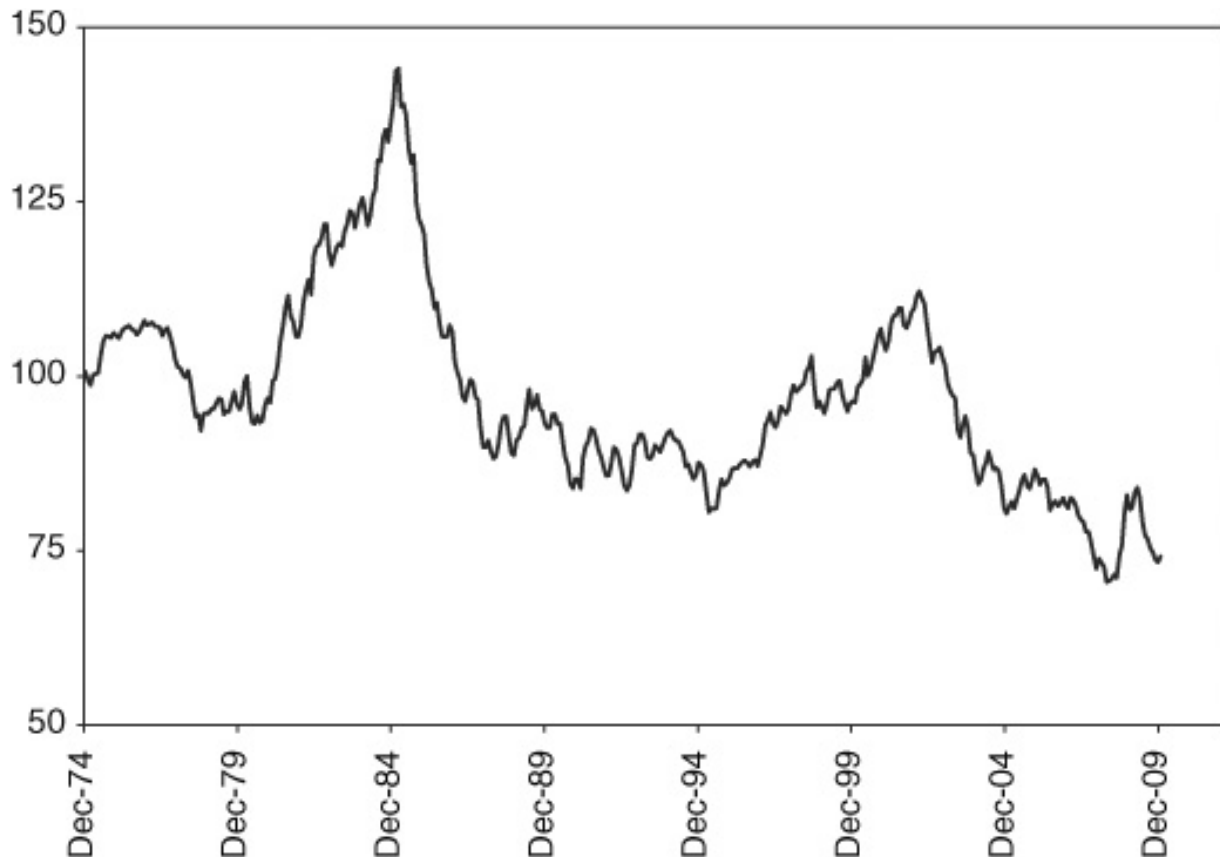


consider owning a small slice of every country and rebalancing their global exposures annually.

CURRENCY RISK

FIGURE 7-1

U.S. Dollar versus Other Major Currencies



Currency fluctuations play an important role in the risk and return of international investments. When U.S. investors buy foreign stocks and stock funds, they are also converting dollars into a foreign currency. Changes in the value of that currency relative to the dollar will affect the total loss or gain on the investment. [Figure 7-1](#) illustrates the value of the U.S. dollar in relation to other major world currencies.

As you can see, the U.S. dollar has been trending lower for many decades. That being said, past trends are not an indication of future trends. Where the dollar goes next is an unknown.